CHAPTER L-02

FINANCIAL PLANNING

Chapter Introduction

In previous chapters we discussed life insurance and its role in providing financial protection. Security is only one of the concerns of individuals who seek to allocate their income and wealth to meet various needs of the present and the future. Life insurance must be understood in the wider context of "Personal Financial Planning". The purpose of this chapter is to introduce the subject of financial planning.

Learning Outcomes

A. Financial planning and the individual life cycle

B. Role of financial planning

C. Financial planning - Types

A. Financial planning and the individual life cycle

1. What is financial planning?

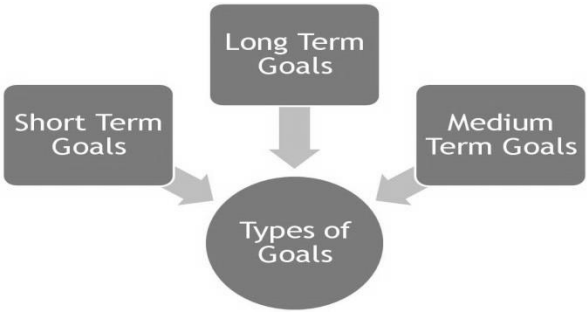
Most of us spend a major part of our lives working to make money. Financial planning is a smart way to make money work for us.

Definition

Financial planning is a process of identifying one's life's goals, translating these goals into financial goals and managing one's finances to achieve those goals.

Financial planning involves preparing a roadmap to meet both current and future needs, which may be unforeseen. It plays a crucial role in building a life with less worry. Careful planning can help to set one's priorities and work to achieve your various goals.

Diagram 1: Types of Goals



i. Goals may be **short term**: Buying an LCD TV set or a family vacation

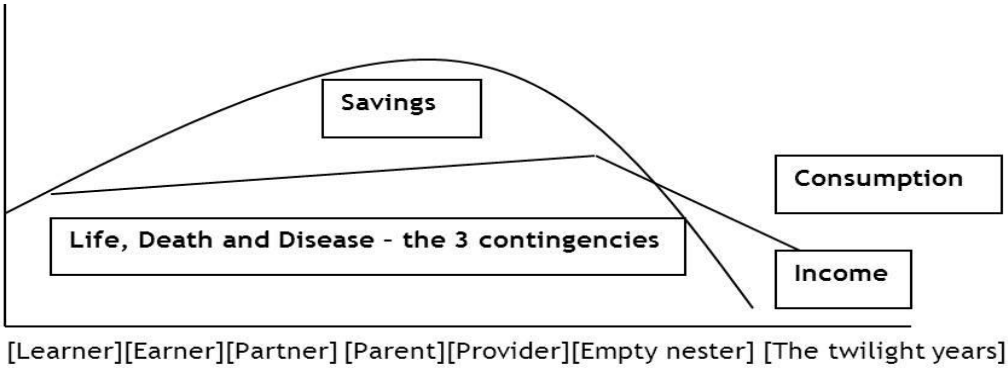
ii. They could be **medium term**: Buying a house or a vacation abroad

iii. The **long term** goals may include: Education or marriage of one's child or post retirement provision

2. Individual's life cycle

From the day a person is born till the day of his/ her death, he/ she goes through various stages in life, during which he/ she is expected to play a series of roles These stages are illustrated in the diagram given below.

Diagram 2: The Economic Life Cycle



Life Stages and Priorities

a) **Learner (till say age 20 -25):**The stage when one is preparing for his future byimproving his or her knowledge and skills. Funds are required for financing one's education. For instance, meeting the high cost of fees for Medical or Management Education.

b) **Earner (from 25 onwards)**:When one has found employment and perhaps earns enough to meet his or her needs and has some surplus to spare.There are family responsibilities and one may also save and invest in order to have money to meet the needs that may arise in the immediate future.For instance, a young man takes a housing loan and invests in a house.

c) **Partner(on getting marriage at say 28 - 30)**: The stage when one is married and has a family of one's own.This creates new needs like having a house of one's own, perhaps a car, consumer durables, planning for children's future etc.

d) **Parent(say 28 to 35)**: The years when one becomes the parent of one or more children.One now has to worry about their health and education - getting them into good schools etc.

e) **Provider(say age 35 to 55)**: The stage when children have grown into teenagers, and includes their high school and college years. One is concerned about the high cost of education to make the child qualified to face the challenges of life.For instance, consider the amount that needs to be set up to finance a medical course that runs for five years.In many Indian homes, making provision for marriage and settlement of girl children is a critical area of concern.Indeed, marriage and education of children is a prime motive for savings for most Indian families today.

f) **Empty Nester(age 55 to 65):**The term 'empty nester' implies that the offspring have flown away leaving the nest [the household] empty.This is the period when children have married and sometimes have migrated to other places for work, leaving the parents.Hopefully by this stage, one has liquidated one'sliabilities [like housing loan and other mortgages] and has built up a fund for reirement.It is also the period when ailments like BP and Diabetes begin to manifest and plague one's life.Health care,financial independence and security of income become very important at this stage.

g) **Retirement – the twilight years (age 60 and beyond):**The age when one has retired from active work and spends one's savings to meet the needs of life.The living needs of the husband and wife as long as both are alive is the focus.One is concerned abouthealth issues,adequateincome and loneliness.This is also the period when one would seek to enhance the quality of life and enjoy many of the things that one had dreamt of but could not achieve – like pursuing a hobby or going on a vacation or a pilgrimage.Whether one ages gracefully or in poverty would depend on how much one has provided for these years.

As we can see above, the economic life cycle has three phases: a student or Pre – job phase; the working phase that begins between ages 18 to 25 and lasts for 35 to 40 years; and the retirement years that begin after one has stopped working.

3. Why does one need to save and purchase various financial assets?

The reason is that during each stage in an individual's life, when one performs a particular role, a number of needs come up for which funds have to be provided.

Example

When a person gets married and starts a family of his own, he may need to have his own house. As children grow older, funds are needed for their higher education. As an individual goes well past middle age, the concern is for having money to meet health costs and post retirement savings so that one does not need to depend on one's children and become a burden. Living with independence and dignity becomes important.

The Savings – Investment process may be considered as being made of two decisions.

i. **Postponement of consumption:** an allocation of resources between present and future consumption.

ii. **Parting with liquidity** (or ready purchasing power) in exchange for less liquid assets. For instance, purchase of a life insurance policy would mean exchanging money for a contract which is less liquid.

Financial planning includes both kinds of decisions. One needs to plan in order to save for the future and also must invest wisely in appropriate assets to meet the various needs that will arise in future.

4. Individual needs

If we look at the stages of the life cycle that has been discussed above, we would see that three types of needs can arise. These give rise to three types of financial products.

a) **Enabling future transactions**

The first set of needs arise from funds for meeting a range of anticipated expenditures that are expected to arise at different stages of the life cycle. There are two types of such needs:

i. **Specific transaction needs**: that are linked to specific life events which require a commitment of resources. For instance making a provision for higher education/ marriage of dependents; or purchase of a house or consumer durables

ii. **General transaction needs:** Amounts set aside from current consumption without being earmarked for any specific purposes – these are popularly termed as 'future provisions'

b) Meeting contingencies

Contingencies are unforeseen life events that may call for large funds. These cannot met from current income and need to be pre-funded. Some of these

events, like death and disability or unemployment, lead to a loss of income. Others, like a fire, may result in a loss of wealth.

Such needs may be addressed through insurance, if the probability of their occurrence is low but cost impact is high. One may alternatively meet them by setting aside a large amount of liquid assets as a reserve.

c) Wealth accumulation

The accumulation motive refers to an individual's desire to invest for accumulating wealth, taking advantage of favourable market opportunities. Some individuals may take a cautious approach while investing, while some may be willing to take more risks, with a view to earn a higher return. Higher return is desired because it helps to increase one's wealth or net worth more rapidly. Wealth is linked with independence, enterprise, power and influence.

5. Financial products

Corresponding to the above sets of needs there are three types of products in the financial market:

Transactional products	Bank deposits and other savings instruments that enable one to have adequate purchasing power (liquidity) at the right time and quantum.
Contingency products like insurance	These provide protection against large losses that may be suffered in the event of sudden unforeseen events.
Wealth accumulation products	Shares and high yielding bonds or real estate are examples of such products. Here the investment is made with a view to committing money for making more money.

An individual would typically have a mix of all of the above needs and thus may need to have all three types of products. In a nutshell one may say there is:

i. A need to save – For cash requirements

ii. A need to insure – Against uncertainties

iii. A need to invest – For wealth creation

6. Risk profile and investments

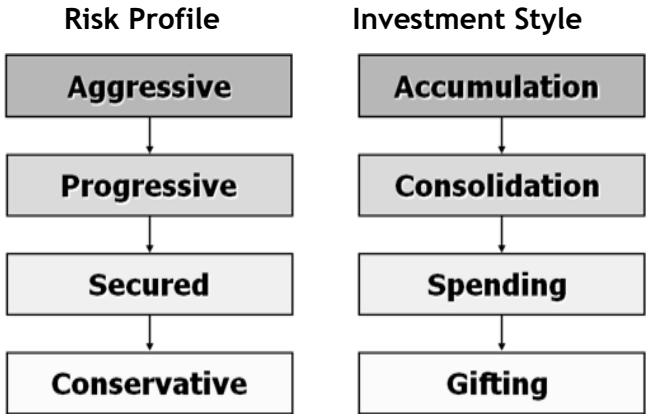
As an individual moves through various stages in the life cycle, from young earner towards middle ages and then towards the final years of one's work life, the risk profile, or approach towards taking risks also changes.

When one is young, one may be quite aggressive and willing to take risks in order to accumulate as much wealth as possible. As the years pass however, one may become more prudent and careful about investing. One is now concerned to secure and consolidate one's investments.

Finally, as one nears retirement one may be more conservative. The focus is now to have a corpus from which one can spend in the post retirement years. One may also think about making donations for one's children, for gifting to charity etc.

One's investment style also changes to keep pace with the risk profile. This is indicated below:

Diagram 3: Risk Profile and Investment Style



Test Yourself 1

Which among the following gives specific protection against unforeseen events?

I. Insurance

II. Transactional products like bank Fixed Deposits

III. Shares

IV. Debentures

B. Role of financial planning

1. Financial planning

Financial planning is the process of carefully evaluating a client's current and future needs along with his or her risk profile and income, to chart out a road map for meeting various anticipated/ unforeseen needs through recommending appropriate financial products.

Elements of financial planning include:

- ✓ Investing - allocating assets based on one's risk taking appetite,
- ✓ Risk management,
- ✓ Retirement planning,
- ✓ Tax and estate planning, and
- ✓ Financing one's needs

To put it in a nutshell financial planning involves 360 degrees planning.

Diagram 4: Elements of Financial Planning

2. Role of Financial planning

Financial planning is not a new discipline. It was practiced in simple form by our fore fathers. There were limited investment options then. A few decades ago many considered equity investment as akin to gambling. Savings were largely channelled in bank deposits, postal savings schemes and other fixed income instruments. The challenges facing our society and our customers are far different today. Some of them are:

i. Disintegration of the joint family

The joint family has given way to the nuclear family, consisting of father, mother and children. The typical head and earning member of this family has to bear the responsibility for taking care of oneself and one's immediate family. This may call for a lot of proper planning and advice from a professional financial planner.

ii. Multiple investment choices

A large number of investment instruments are available today for wealth creation, each offering varying degrees of risk and return. To achieve financial goals, one has to choose wisely and make the right investment decisions based on one's risk taking appetite. Financial planning can help with one's asset allocation.

iii. Changing lifestyles

Instant pleasure seems to be the order of the day. Individuals want to have the latest mobile phones, cars, large homes, memberships of prestigious clubs, etc. To satisfy these desires, people often borrow heavily and spend a good part of their income to pay off loans, leaving little scope to save. Financial planning helps to plan and one's expenditure so that one can cut down unnecessary expenses so as to maintain one's present standard of living while upgrading it over time.

iv. Inflation

Inflation is a rise in the general level of prices of goods and services in an economy over a period of time. This leads to a fall in the value of money. As a result, the purchasing power of money gets reduced. Inflation can play havoc

post retirement. Financial planning can help to ensure that one is equipped to deal with inflation, especially in later years.

v. **Other contingencies and needs**

Financial planning also enables individuals to meet a number of other needs and challenges like medical emergencies and tax liabilities. Individuals also need to ensure that their estate consisting of their wealth and properties, smoothly pass on to their loved ones after their death. There are other needs like the need to do charity or meet certain social and religious obligations during one's lifetime and even thereafter. Financial planning is the means to achieve all this.

3. **When is the right time to start financial planning?**

Financial planning is not meant only for the wealthy. Indeed, Planning should ideally start one earns one's first salary. There is no trigger point to tell when one should begin to plan.

There is however an important principle that should guide us – the longer the time period of our investments, the more they will multiply.

Hence one should start early. One's investments would then get the maximum benefit of time. Again, planning is not only for wealthy individuals. It is for everyone. To achieve one's financial goals, one must follow a disciplined approach. An unplanned, impulsive approach to financial planning is one of the prime causes of financial distress of individuals.

Test Yourself 2

When is the best time to start financial planning?

I. Post retirement
II. As soon as one gets his first salary
III. After marriage
IV. Only after one gets rich

C. Financial planning - Types

Let us now look at the various types of financial planning exercises that an individual may need to do.

Diagram 5: Financial Planning Advisory Services

Consider the various advisory services that may be provided. There are six such areas that are taken up

- ✓ Cash planning
- ✓ Investment planning
- ✓ Insurance planning
- ✓ Retirement planning
- ✓ Estate planning
- ✓ Tax planning

1. Cash planning

Managing cash flows has two purposes.

i. To manage income and expenditures flow including establishing and maintaining a reserve of liquid assets to meet unanticipated needs.

ii. To systematically create and maintain a surplus of cash for capital investment.

Cash Planning involves a number of steps. One must prepare a budget and analyse one's income and expenditure flows to check on what regular and lump sum costs have been incurred. While fixed expenses cannot be controlled easily, one can reduce, postpone and manage expenses that are variable. The next step is to **predict future monthly income and expenses over the whole year and** design a plan for managing these cash flows.

Another part of the cash planning process is to design strategies for maximizing discretionary income.

Example

One can restructure one's outstanding debts.

One can meet outstanding credit card debts through consolidating them and paying them off through a bank loan with lower interest.

One may reallocate one's investments to make them earn more income.

2. Insurance planning

There are certain risks to which individuals are exposed that can keep them from attaining their personal financial goals. Insurance planning involves constructing a plan of action to provide adequate insurance against such risks.

The task here is to estimate how much insurance is needed and determining what type of policy is best suited.

i. **Life insurance** may be decided by estimating the income and expense requirements of the dependents in the event of premature death of the bread winner.

ii. **Health insurance** requirements may be assessed in terms of the hospitalisation expenses that are likely to be incurred in any family medical emergency.

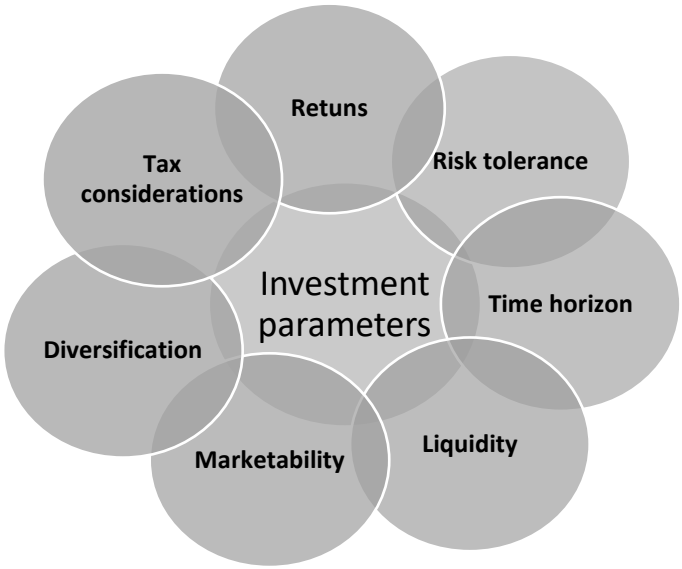
   a. Finally **insurance for one's assets** may be considered in terms of the type and quantum of cover required to protect one's home/ vehicle/ factory etc. from the risk of loss.

3. Investment planning

There is no one right way to invest. What is appropriate would vary from individual to individual. Investment planning is a process of determining the most suitable investment and asset allocation strategies based on an individual's risk taking appetite, financial goals and the time horizon to meet those goals.

a) Investment parameters

Diagram 6: Investment Parameters



The first step here is to define certain investment parameters. These include:

i. **Returns**: Returns on Investment is often the most important parameter that people look for when they invest their money. The rate of return determines how fast one's wealth from investments would grow over time. The role of returns can be appreciated when one considers the 'Power of compounding'. For instance, if an amount of Rs 1000 is invested today at 8% rate of interest, at the end of five years, it would accumulate to Rs 1469 and at the end of 10 years it would more than double to reach Rs 2159. This expectation of returns which helps to accumulate wealth is one of the prime motives of investment. At the same time, one must note that higher rates of return may be typically accompanied with higher levels of risk. One has to make a trade-off between return and risk. This depends on an individual's risk tolerance.

ii. **Risk tolerance**: A measure of how much risk someone is willing to take in purchasing an investment.

iii. **Time horizon**: This is the amount of time available to attain a financial objective. The longer the time horizon, the less concern is there about short term liability. One can invest in longer term, in less liquid assets that earn a higher return.

iv. **Liquidity**: Individuals with limited investment capacity, or uncertain income and expenditure flows, or who are investing for meeting a particular personal or business expenditure, would be concerned with liquidity [This refers to the ability to convert investment into cash without loss of value.]

v. **Marketability**: The ease with which an asset can be bought or sold.

vi. **Diversification**: The extent to which one seeks to diversify or spread the investments to reduce the risks.

vii. **Taxes**: Many investments confer certain income tax benefits and one may like to consider the post-tax returns of various investments.

b) Selection of appropriate investment vehicles

The next step is selection of appropriate investment vehicles based on the above parameters. The actual selection would depend on the individual's expectations about return and risk.

In India there are a variety of products that may be considered for the purpose of investments. These include:

- ✓ Fixed deposits of banks/ corporates,
- ✓ Small savings schemes of post office,
- ✓ Public issues of shares,
- ✓ Debentures or other securities,
- ✓ Mutual funds
- ✓ Unit linked policies that are issued by life insurance companies etc.

4. Retirement planning

It is the process of determining the amount of money that an individual needs to meet his needs post retirement and deciding on various retirement options for meeting these needs. Retirement planning involves three phases

a) **Accumulation:** Accumulation of funds is done through various kinds of strategies to set aside money for investment with this purpose.

b) **Conservation:** Conservation refers to the efforts made to ensure that one's investments are put to hard work and that the principal gets maximised during the individual's working years.

c) **Distribution:** Distribution refers to the optimal method of converting the corpus or principal into withdrawals/ annuity payments for meeting income needs after retirement.

5. Estate planning

It is a plan for the devolution and transfer of one's estate after one's demise. There are various processes like nomination and assignment or preparation of a will. The basic idea is to ensure that one's property and assets are smoothly distributed and or utilised according to one's wishes after one is no more.

6. Tax planning

Tax planning is done to determine how to gain maximum tax benefit from existing tax laws and also for planning of income, expenses and investments taking full advantage of the tax breaks. As per the tax laws in India, life insurance premium paid by an individual on a life insurance policy on his/ her own life, on the life of his/ her spouse and children is eligible for deduction under Section 80C of the Income Tax Act for calculating the taxable income. Currently, this deduction is allowed up to Rs.1,50,000 subject to conditions. The maturity proceeds (sum assured plus bonus) of such policies are also exempted under Section 10 (10D). Similarly, Death Claim amounts are exempt from Income Tax at the hands of the recipient. One must note that the purpose here is to minimise and not evade taxes.

Life insurance agents may be often required by their clients and prospective customers to advise them not only about meeting their insurance needs but also for support in meeting their other financial needs as well. A sound knowledge of financial planning would be of great value to any insurance agent.

Test Yourself 3

Which among the following is not an objective of tax planning?

I. Maximum tax benefit

II. Reduced tax burden as a result of prudent investments

III. Tax evasion

IV. Full advantage of tax breaks

Summary

- Financial planning is a process of:
  - ✓ Identifying one's life's goals,
  - ✓ Translating these identified goals into financial goals and
  - ✓ Managing one's finances in ways that will help one to achieve those goals
- Based on the individual life cycle three types of financial products are needed. These help in:
  - ✓ Enabling future transactions,
  - ✓ Meeting contingencies and
  - ✓ Wealth accumulation
- The need for financial planning is further increased by the changing societal dynamics like disintegration of the joint family, multiple investment choices that are available today and changing lifestyles etc.
- The best time to start financial planning is right after one receives the first salary.
- Financial planning advisory services include:
  - ✓ Cash planning,
  - ✓ Investment planning,
  - ✓ Insurance planning,
  - ✓ Retirement planning,
  - ✓ Estate planning and
  - ✓ Tax planning

Key Terms

1. Financial planning
2. Life stages
3. Risk profile
4. Cash planning
5. Investment planning
6. Insurance planning
7. Retirement planning
8. Estate planning
9. Suitability information
10. Tax planning

Answers to Test Yourself

Answer 1 - The correct option is I.
Answer 2 - The correct option is II.
Answer 3 - The correct option is III.